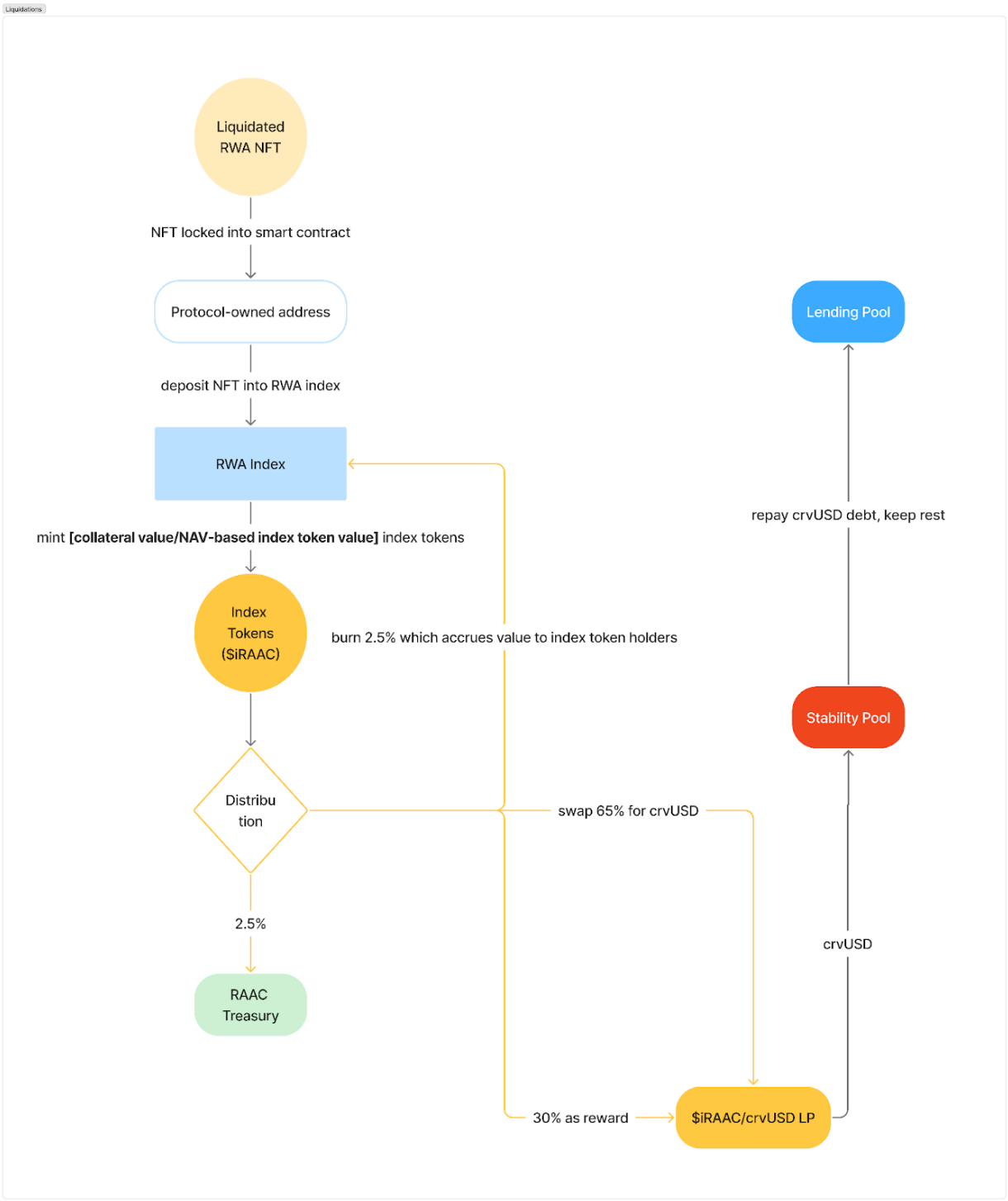
## Liquidations




[Link]

Liquidations are determined by the borrower's health factor, which is calculated using the following formula:

$$Health\ Factor = \frac{(Collateral\ Value \times Weighted\ Average\ Liquidation\ Threshold)}{Borrow\ Value}$$

*Example*
*Liquidation threshold: 50%*
*Collateral: $100,000*
*Borrow position: $40,000*
*→ Health factor = ($100,000 * 50%) / $40,000 = 1.25*

When a borrower's debt position falls below a health factor of 1, it enters the liquidation process. Liquidations on RAAC work differently than traditional money markets due to the borrower's collateral being an RWA NFT instead of a fungible token with a liquidity pool.

The liquidation threshold is set per RWA collateral asset, which is based on its risk. This acts as a buffer to prevent bad debt from accumulating through the RAAC ecosystem.

**Liquidation Process**
A borrower's RWA collateral value (in $) is updated regularly based on Chainlink price feeds and a bi-annual offchain evaluation.

When a borrower's health factor falls below 1, a liquidation event is triggered. If the borrower took out an optional insurance, they get 72 hours to pay back their loan to avoid liquidation.

Upon liquidation, the RWA NFT is moved to a smart contract for the protocol to take ownership of it. The borrower's unpaid crvUSD debt creates a gap on the protocol's balance sheet and is tracked.

The protocol then deposits the RWA NFT into the RWA index, receiving $iRAAC index tokens in exchange. $iRAAC is used as follows:

- *65% are awarded to the stability pool depositors and lenders.
- 30% is distributed to $iRAAC/crvUSD LPs as a reward
- 2.5% is allocated to the RAAC treasury as a protocol fee
- 2.5% is burned, accruing value to the RWA index, and therefore $iRAAC holders

*Of the 65%, $iRAAC is automatically swapped for crvUSD through the $iRAAC/crvUSD LP. crvUSD is then paid back to the lending pool. Any crvUSD above the unpaid debt is awarded to stability pool depositors. Given a LLTV of 50%, this

leaves a profit of ~12.5% for stability pool depositors, depending on the price impact of the swap.

If the $iRAAC/crvUSD liquidity is insufficient, the remainder will be compensated in $iRAAC. The protocol must then be made whole of remaining crvUSD debt. This is achieved by slashing all lenders' positions pro rata based on their deposits (crvUSD loan by liquidation borrower) and compensating them with index tokens.

The borrower keeps their loaned crvUSD but loses ownership of the RWA NFT, realizing a loss of $collateral\ value\ -\ borrowed\ amount$. As the collateral is a non-fungible NFT, the whole debt position has to be liquidated.